

S&P Global Flash Australia PMI®

Australian private sector gains momentum amid renewed demand growth and softer cost pressures

July 2026

Flash Australia Composite PMI Output Index: 52.6
(Jun: 50.4)

Flash Australia Services PMI Business Activity Index: 53.0 (Jun: 50.5)

Flash Australia Manufacturing PMI: 51.7 (Jun: 51.5)

Flash Australia Manufacturing PMI Output Index: 49.9
(Jun: 49.5)

The Australian private sector enjoyed its first increase in new business in five months in July, according to 'flash' PMI® data from S&P Global. Improved demand conditions underpinned a stronger expansion in output, led to upgraded recruitment activity and enabled greater protection of profit margins. In fact, the gap between the input costs and output prices indices lessened amid a combination of softer cost inflation and a faster rise in charges.

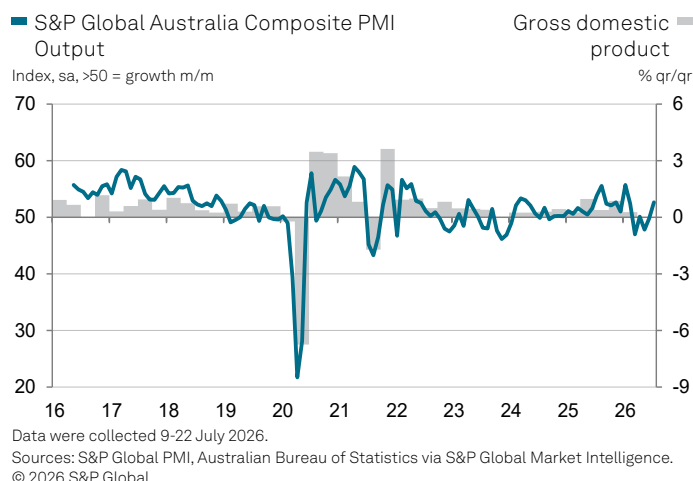
However, amid reports of uncertainty across the market, business sentiment among Australian private sector firms remained subdued in July. The level of confidence was up only slightly from June's more than two-and-a-half year low.

Up from 50.4 in June, the headline seasonally adjusted S&P Global Flash Australia PMI® Composite Output Index posted at 52.6 in July, signalling a second successive month of growth in private sector output. The latest reading was not only the highest since the start of the year, but also consistent with a moderate expansion and one that was stronger than the series average.

Growth across the Australian private sector remained centred on the service economy, where activity increased at the fastest rate since January. Although manufacturing output was broadly unchanged from June, this also represented the best outcome since the start of 2026.

July data indicated a fresh injection of new work across the Australian private sector, ending a four-month run of decline that was the longest since the start of 2024. The expansion was broad-based across both monitored sectors and moderate in nature. Panellists reported a pick-up in demand conditions, a slight improvement in market confidence and new client wins. However, there was persistent weakness in international demand, as signalled by a stronger fall in export sales.

Greater workloads led to a rise in backlogged orders for the first time in five months, albeit one that was only slight in nature. This pressure on capacity encouraged greater hiring activity



Comment

Eleanor Dennison, Economist at S&P Global Market Intelligence said:

"The latest set of 'flash' PMI data will provide some comfort that things are moving in the right direction for Australian businesses. Demand has shown signs of recovery, with new orders rising for the first time in five months. July data showed the private sector to be boosted by domestic demand given a deeper fall in sales to international customers.

"Output maintained its trend of expansion, but unlike that of new orders which was broad-based by sector, growth in activity was solely supported by the services economy. The manufacturing sector did show greater signs of stabilisation, however.

"There was more positive news with respect to prices, with cost pressures continuing to ease off. More stability on the demand front also encouraged firms to more actively protect their margins.

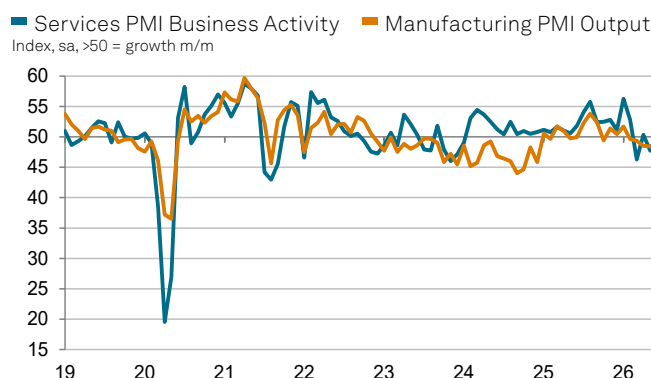
"However, as we move further into the second half of the year, the outlook remains somewhat clouded with uncertainty. Businesses are certainly expressing some caution in their projections for the coming year."

across the economy, with job creation at its strongest since April and back above trend. Jobs were added across both the services and manufacturing sectors.

On the price front, there was a noticeable slowdown with respect to the rate of cost inflation in July. Retreating further from April's recent peak, cost pressures were their softest since February, but still substantial overall. Greater outlays on fuel, oil, raw materials and wages were widely reported in the qualitative part of the survey.

While manufacturers raised their selling prices at a softer rate compared to June, strength in demand for services encouraged service providers to be more aggressive in their price setting. The composite rate of charge inflation rose since June, but was still below that seen in April and May.

Looking ahead, Australian businesses remained cautiously optimistic in their growth expectations for the coming 12 months. The level of confidence ticked up only slightly from June's more than two-and-a-half year low and therefore remained subdued by historical standards.



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Methodology

Final July data are published on 3 August for manufacturing and 5 August for services and composite indicators.

The S&P Global Flash Australia PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of around 400 manufacturers and 400 service providers. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Composite indices for are calculated by weighting together comparable manufacturing and services indices using official manufacturing and services annual value added.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

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Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.1 (absolute difference 0.5)

Services Business Activity Index = 0.1 (absolute difference 0.6)

Manufacturing PMI = 0.1 (absolute difference 0.3)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

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PMI by S&P Global

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